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The Economic Survey, and the finance minister himself, say that to target subsidies we can use food coupons. These are bold reformist measures which would not be thought of earlier.

This is an opportunity missed because it was free from all political and economic constraints. The global situation is improving, the domestic political situation is favourable, you could have done it. ”

RAJIV KUMAR
Director and Chief
Executive, ICRIER

about food coupons but nothing happened. This effectively is the first budget of the UPA-II Government. The charitable view is that we tried all these things during the first UPA, but we couldn't do it; now we will do it.

S. Mahendra Dev: Compared to last year, I think there is some vision in this Budget—basically, growth, fiscal consolidation and, of course, inclusive growth. And also some conceptualisation of the Budget—he talked about non-government sector involvement in delivery of services. People probably expected a big-bang kind of thing but in his post-budget interview the finance minister said he didn't have numbers. Also, different finance ministers have different styles. Kumar: This was the opportunity for him to come out with a colossus and say this is the reform I'm going to do and this is what I have done with aligned ministries. This is what I have consulted with them. This is what was done in 1991 budget by Manmohan Singh. He consulted all the ministries, consolidated all that and put in the Budget speech. He could have done that; maybe he is falling short of technical people in his own team. This fact of raising enough revenue by raising Re 1 per litre on petroleum products could have been easily met by raising the Cenvat from 8 to 11 per cent. He has got the vision but maybe not the team to put it together and deliver.

Aiyar: There are enough concepts and re-

views on what needs to be done. This is a continuum government. Would it have been better to come up with an action plan rather than a thought plan?

Goyal: I think there is a message and an action plan. The Budget talks about creating mechanisms for delivery of services. The vision is that we can grow and growth has to be socially inclusive.

WILL IT PROMOTE GROWTH?

What are the impulses for sectors?

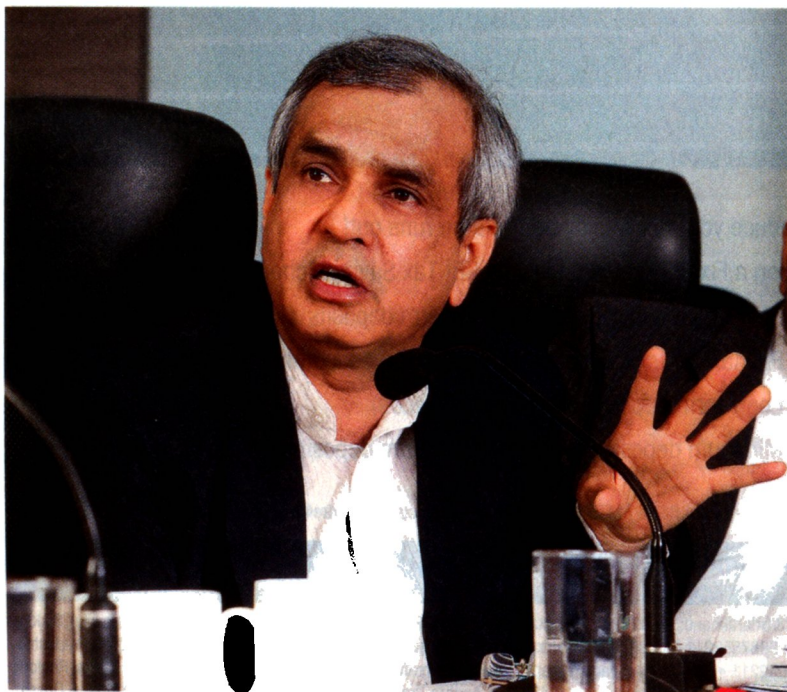
Goyal: You could start with green technology; then there are other sectors the finance minister spoke about. He talked about developing cold storages for agriculture, the dal or pulses mission, the oilseed mission, increasing agri productivity by focusing on eastern India. I do agree though that the weakness is in implementation. The ideas are there, the thrust is there but there is need for focus on implementation.

Roy: Of course, it will promote growth. You must look at drivers of growth. There are two key drivers he has got it in the Budget—one, he is trying to enhance consumption or rather help in consumption growth by bringing down the tax rates and if you look at enhanced expenditure on infrastructure. There is also the rural focus and infrastructure which will promote growth.

Aiyar: Are there sectors that will lose out?

Goyal: Automobiles will lose because of the petro price hike. Everybody expected a rollback in this excise duty. People were really buying automobiles. And now we will see a sharp fall in it, because the duty has been rolled back and petro prices have gone up. But agriculture should respond and I think there are some sops for exports also. Even the rollback of excise duties is partial and there is targeted relief for sectors hit by global recession. Sometimes we forget that the rest of the world is still in a slowdown.

Ranade: Yes, the Budget will promote growth. The tax cut is pro-consumption and as Siddhartha said it will boost consumption. Of course, there is not enough of boost for private sector investment spending as against private sector consumption spending but there are a few sectors where he mentioned where he is trying to incen-



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